THE
ALTUCHER REPORT

How to Buy Bitcoin with Zero Risk

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So you've purchased some bitcoin — and you're excited to see how fast this cryptocurrency blasts up in price.

We all saw bitcoin's epic surge from around $900 to almost $20,000 in 2017. And we're convinced that it's only a matter of time before prices catapult higher again.

But you may be wondering: What if bitcoin crashes again?

Well, the good news is, there's a clever strategy that allows you to buy bitcoin — without having to worry about market volatility.

This strategy is drop-dead simple, and it only takes a few seconds to implement.

Investopedia has said that this strategy "offers risk mitigation and hedging possibilities."

Forbes has recommended this as a way of "hedging your bitcoin bet."

And Medium.com has said that it "hedges against the price [of Bitcoin] going down."

With this strategy in place, you'll have the peace of mind knowing that even if bitcoin drops all the way to $0 — which is *extremely* unlikely — you won't lose a dime!

Here's how…

Hedging Your Bitcoin Bets

In short, the way you hedge your bet on bitcoin is with **The Cboe Bitcoin Futures Contract (XBT)**.

Most people think of trading futures contracts on commodities like corn, coffee, and wheat.

But the Chicago Board Options Exchange (CBOE) launched its bitcoin futures product in December 2017.

It opened the door for any investor who wants exposure to the cryptocurrency sector without actually owning a digital wallet. So it lowered the barrier to entry. That's good news for all crypto investors!

Brokers Currently Trading XBT

Source: CBOE

XBT does something else, too...

According to the XBT site, it's also a "risk management tool for bitcoin-holding participants."

How does it work exactly?

When you enter a futures contract, you're making an agreement to buy or sell an underlying commodity — at a certain time — for a specific price.

If that sounds similar to an option, that's because it is!

There are a few differences. But here's the main one...

When you buy an option, you have the right to exercise that option up until the expiration date. But it's not an obligation. So you don't have to exercise the option.

So if you're selling an option, that option may or may not be exercised, depending on the direction of the market.

With a futures contract, the buyer is obligated to follow through.

So if you're selling a futures contract on bitcoin, that means your bitcoin will be called away from you.

How does that help you?

Let's take a look at an example, so you can see how futures can mitigate your risk.

Please Note: Before we dive in, you should know that we are not officially recommending this strategy. We simply want to bring it to your attention. Only you and your financial advisor can decide if this strategy is right for you.

Instantly Mitigate Losses

Each XBT contract represents one bitcoin. So let's use that as our baseline to keep it simple.

Say you currently own one bitcoin. And you purchased it for $5,000.

As of this writing, bitcoin is trading higher than that. But you might still want to prepare for a potential drop in the next 30 days.

You could sell one XBT contract that expires next month. And let's say the settlement price is $6,300.

How does that protect against a bitcoin decline?

Well, say bitcoin drops to $4,000. Your single bitcoin investment — where you paid $5,000 — would be down $1,000.

But your short position in the futures contract is up $2,300 ($6,300 - $4,000 = $2,300). That offsets the loss.

In fact, you'd make a net profit of $1,300.

Ok, so why doesn't everyone do this?

Well, there is the possibility that bitcoin continues to charge higher — blasting past the settlement price.

For instance, say bitcoin jumped to $11,000 in 30 days.

If that happened, your initial bitcoin investment would jump higher — gaining $6,000.

But you'd lose $4,700 on the XBT contract ($11,000 - $6,300 = $4,700).

So your net gain would still only be $1,300.

That's the trade off. But if you're uncertain of bitcoin's future and want to protect from any downside movement, XBT futures can essentially drop your risk to zero.

Bottom line: XBT allows crypto investors to mitigate their risk considerably in the event that bitcoin prices drop. But it also puts a cap on your potential gains. Be sure to consult your financial advisor to see if this strategy is right for you.

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